

# WHY MOVING AVERAGES?

Moving averages help us in two ways - Direction and Dynamic support and resistance. When the moving average lines are rising, the market is in an uptrend; when the moving average lines are falling, the market is in a downtrend. Similarly, *when the moving averages are flat, it suggest that the market is in a consolidation zone. Moving averages staying flat and the market creating a narrow range contribute to this trading strategy.* Read further to know.



The above image shows that the rising moving average indicates an uptrend in the price and is correcting after facing a small rejection on top. If you mark the horizontal support lines, which I call 'static support/resistance' lines, you will have to mark the stoploss according to the previous support level. However, when you use moving averages to trade, you can use the moving average itself as the trailing stoploss. This is how I use moving averages to benefit me while trading with the simplest systems.